

Beacon Brokerage Services — 2025 Consolidated Form 1099

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Beacon Brokerage Services LLC, 88 Harbor Point, Boston, MA 02210

Tax Information Summary

Form / Box	Description	Amount
1099-INT box 1	Interest income	\$1,180.00
1099-INT box 8	Tax-exempt interest (municipal)	\$1,450.00
1099-DIV box 1a	Total ordinary dividends	\$6,400.00
1099-DIV box 1b	Qualified dividends	\$5,200.00
1099-DIV box 2a	Total capital gain distributions	\$1,300.00
1099-DIV box 5	Section 199A dividends	\$900.00
1099-DIV box 7	Foreign tax paid	\$240.00
1099-B	Total proceeds (3 covered lots)	\$23,200.00

Form 1099-INT — Interest Income Detail

Source	Box	Amount
Beacon cash sweep (FDIC)	1	\$880.00
Beacon bond ladder interest	1	\$300.00
Mesa County municipal bond fund	8 (tax-exempt)	\$1,450.00
Total interest reported		\$2,630.00

Box 1 taxable interest = \$880.00 + \$300.00 = \$1,180.00. Box 8 municipal interest \$1,450.00 is excluded from federal taxable income and from net investment income.

Page 2 — Form 1099-DIV: Per-Security Dividend Detail

Security	Ordinary (1a)	Qualified (1b)	§199A (5)	Non-qualified
PNCL — Pinnacle Cloud Systems	\$1,100.00	\$1,100.00	\$0.00	\$0.00
VTI — Vanguard Total Mkt ETF	\$1,950.00	\$1,950.00	\$0.00	\$0.00
SCHD — Schwab US Dividend ETF	\$1,500.00	\$600.00	\$900.00	\$900.00
TMOB — T-Mobile US	\$700.00	\$700.00	\$0.00	\$0.00
DGRO — iShares Div Growth ETF	\$850.00	\$850.00	\$0.00	\$0.00
ABCD — Abacus Devices Inc	\$300.00	\$0.00	\$0.00	\$300.00
Totals	\$6,400.00	\$5,200.00	\$900.00	\$1,200.00

Qualified dividends are taxed at the preferential 0/15/20% rate. The §199A (REIT) portion is ordinary but supports a 20% qualified-business-income deduction (Form 8995). Non-qualified dividends are taxed at ordinary rates.

Foreign Tax Detail (box 7)

Security	Foreign source income	Foreign tax paid
VTI — international sleeve	\$2,150.00	\$240.00
Total		\$240.00

Foreign tax \$240.00 is below the \$300 single-filer threshold and may be claimed directly on Schedule 3 without filing Form 1116.

Page 3 — Dividend & Distribution Schedule (by payment date)

Pay date	Security	Type	Amount
2025-03-14	VTI	Qualified	\$487.50
2025-03-21	SCHD	Qual/\$199A	\$375.00
2025-03-28	DGRO	Qualified	\$212.50
2025-04-02	PNCL	Qualified	\$275.00
2025-06-13	VTI	Qualified	\$487.50
2025-06-20	SCHD	Qual/\$199A	\$375.00
2025-06-27	DGRO	Qualified	\$212.50
2025-07-02	PNCL	Qualified	\$275.00
2025-09-12	VTI	Qualified	\$487.50
2025-09-19	SCHD	Qual/\$199A	\$375.00
2025-09-26	DGRO	Qualified	\$212.50
2025-10-02	PNCL	Qualified	\$275.00
2025-11-15	TMOB	Qualified	\$700.00
2025-12-12	VTI	Qualified	\$487.50
2025-12-19	SCHD	Qual/\$199A	\$375.00
2025-12-22	DGRO	Qualified	\$212.50
2025-12-22	PNCL	Qualified	\$275.00
2025-12-29	ABCD	Non-qualified	\$300.00
2025-12-30	(cap gain dist) SCHD	2a	\$1,300.00

Distribution schedule is illustrative of timing; totals roll up to the box amounts on page 2.

Page 4 — Form 1099-B: Proceeds From Broker Transactions

Description	Acquired	Sold	Term	Proceeds	Cost basis (reported)	Wash disallowed	Gain/Loss
260 sh PNCL (RSU)	05/14/23	11/08/25	LT	\$14,200.00	\$9,000.00	—	\$5,200.00
300 sh ABCD	02/02/24	09/19/25	LT	\$4,000.00	\$6,500.00	\$2,500.00	\$-2,500.00
140 sh ABCD (replacement)	10/02/25	—	held	—	—	basis +\$2,500.00	—
50 sh TMOB	01/20/25	08/30/25	ST	\$5,000.00	\$4,200.00	—	\$800.00

WASH SALE — ABCD: 300 shares sold at a \$-2,500.00 loss on 09/19/2025; 140 shares repurchased on 10/02/2025 (within 30 days). \$2,500.00 of the loss is disallowed and added to the basis of the replacement shares. Deductible loss for 2025 on this position = \$0.00.

EQUITY-COMP BASIS — PNCL: Reported basis \$9,000.00 may be understated. Adjusted basis is \$12,400.00 (Stock Plan Supplemental). Correct LT gain = \$14,200.00 – \$12,400.00 = \$1,800.00, reported via Form 8949 code B.

Page 5 — Form 8949 Mapping & Schedule D Reconciliation

8949 line	Item	Adj. code	Adjustment	Gain/Loss
LT (box E)	PNCL adjusted gain	B	\$3,400.00	\$1,800.00
LT (box E)	ABCD wash sale	W	\$2,500.00	\$0.00
LT	Capital gain distributions (box 2a)	—	—	\$1,300.00
ST (box A)	TMOB short-term	—	—	\$800.00

Schedule D	Amount
Net long-term capital gain	\$3,100.00
Net short-term capital gain (ordinary)	\$800.00
Total capital gain (to Form 1040 line 7)	\$3,900.00

Step-by-step: (1) Correct PNCL basis from \$9,000.00 to \$12,400.00 → gain \$1,800.00. (2) Disallow ABCD wash loss → \$0. (3) Add cap-gain distributions \$1,300.00 → net LT \$3,100.00. (4) TMOB short-term \$800.00 stays ordinary. (5) Total \$3,900.00.

Page 6 — State Reporting & Account Reconciliation

State (Colorado) Tax Information

Item	Amount
State identified on account	CO
State tax withheld on dividends/interest	\$0.00
Tax-exempt interest from CO obligations (subset of box 8)	\$420.00
Tax-exempt interest from other states	\$1,030.00

Account Value Reconciliation (informational)

Item	Amount
Realized proceeds (3 lots)	\$23,200.00
Total dividends & interest paid	\$9,030.00
Capital gain distributions	\$1,300.00
Foreign tax withheld	\$240.00

Reportable amounts above reconcile to the per-box totals on pages 1–2 and to Schedule D on page 5.

Page 7 — Methodology & Frequently Asked Questions

Is the municipal interest in box 8 taxable? No — it is excluded from federal taxable income and from net investment income (NIIT). A small portion (\$420.00) is from Colorado obligations and is also Colorado tax-exempt; the remainder is from other states.

Why does the reported 1099-B basis differ from my records? For stock-plan shares, the broker is generally only permitted to report the purchase/discount price, not the compensation income recognized at vest/purchase. You must adjust the basis upward (Form 8949 code B) to avoid being taxed twice on the same income.

Can I deduct the ABCD loss? Not the portion attributable to shares repurchased within the 61-day wash-sale window; that disallowed loss shifts to the basis of the replacement shares and is recovered when those shares are eventually sold.

How are qualified dividends and long-term gains taxed? At the preferential 0/15/20% rate based on taxable income, not the ordinary brackets. Given this income level, the 15% rate applies, plus the 3.8% NIIT on net investment income.